

Multiple Choice

1. **Answer:** D

Options: A) when price goes up supply goes up; B) it is better to give than receive; C) demand creates its own supply; D) supply creates its own demand

Note: Say's law posits that production inherently generates an equivalent level of demand, meaning that the act of supplying goods and services will create the demand necessary to purchase them.

2. **Answer:** D

Options: A) increased government spending.; B) higher tariffs on imported goods.; C) lower taxes on household income.; D) a tax credit on capital investment.

Note: Supply-side economists advocate for policies that stimulate production and investment, and a tax credit on capital investment directly incentivizes businesses to invest in new equipment and technology, thereby promoting economic growth.

3. **Answer:** A

Options: A) beneficial to some workers and harmful to other workers; B) beneficial to all workers and harmful to some employers; C) harmful to all workers and employers; D) beneficial to all workers and employers

Note: An increase in the minimum wage can benefit some workers by raising their income while potentially harming others by leading to job losses or reduced hours, as employers may hire fewer workers at a higher wage.

4. **Answer:** C

Options: A) A high degree of government involvement.; B) Public ownership of resources.; C) Private property.; D) Central planners set wages and prices.

Note: Private property is a fundamental aspect of the free market system because it allows individuals and businesses to own, control, and exchange resources freely, which promotes economic efficiency and innovation.

5. **Answer:** C

Options: A) upward sloping at full employment.; B) horizontal below full employment.; C) vertical at full employment.; D) vertical below full employment.

Note: The long run aggregate supply is vertical at full employment because, in the long run, the economy's output is determined by factors such as technology and resources, rather than the price level, meaning that output remains constant regardless of changes in price.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: A negative externality occurs when the production of a good imposes costs on third parties not involved in the transaction, leading to an overallocation of resources and resulting in harm to society.

7. **Answer:** False

Options: A) True; B) False

Note: According to Classical economic theory, a decrease in the money supply would lead to a decrease in the price level, as less money in circulation typically reduces overall demand for goods and services.

8. **Answer:** False

Options: A) True; B) False

Note: When nominal GDP rises, it typically leads to increased consumer spending and higher demand for money for transactions, which can actually lead to an increase in interest rates rather than a decrease.

9. **Answer:** True

Options: A) True; B) False

Note: Monetarists assert that the velocity of money and the quantity of money remain relatively stable over time, which allows them to predict economic outcomes based on changes in the money supply.

10. **Answer:** False

Options: A) True; B) False

Note: The aggregate demand curve represents the total quantity of all goods and services demanded in the economy at various price levels, rather than being a simple horizontal summation of individual demand curves, which reflect the quantity demanded of single goods at different prices.

Long Form Response

11. **Answer:** Import quotas are government-imposed limits on the quantity of a specific good that can be imported into a country. One predictable economic consequence of import quotas is that they lead to higher consumer prices, as the reduced supply of imported goods often results in less competition, allowing domestic producers to raise their prices. Additionally, import quotas can cause a misallocation of resources among producers, as they may protect less efficient domestic industries while limiting the ability of more efficient producers to compete. This can lead to an overall decrease in economic efficiency, as resources are not being utilized in the most productive manner. Ultimately, while import quotas may shield certain domestic industries, they negatively impact consumers and the economy as a whole.

Note: correct because import quotas restrict supply, leading to higher consumer prices

due to decreased competition, and they can misallocate resources by shielding inefficient domestic producers from foreign competition.

12. **Answer:** A rise in the real interest rate typically leads to an increase in the demand for a nation's currency. This happens because higher interest rates offer better returns on investments in that currency, attracting foreign investors. As demand for the currency increases, its value appreciates, meaning it becomes stronger compared to other currencies. However, a stronger currency can negatively impact net exports, as it makes a nation's goods more expensive for foreign buyers, leading to a potential decrease in exports. For example, if the U.S. raises its interest rates, the dollar may strengthen, making American products pricier abroad and possibly reducing demand for exports. *Note:* correct because a rise in real interest rates attracts foreign investment, increasing demand and value for the currency, which can subsequently lead to a decrease in net exports due to higher prices for foreign buyers.